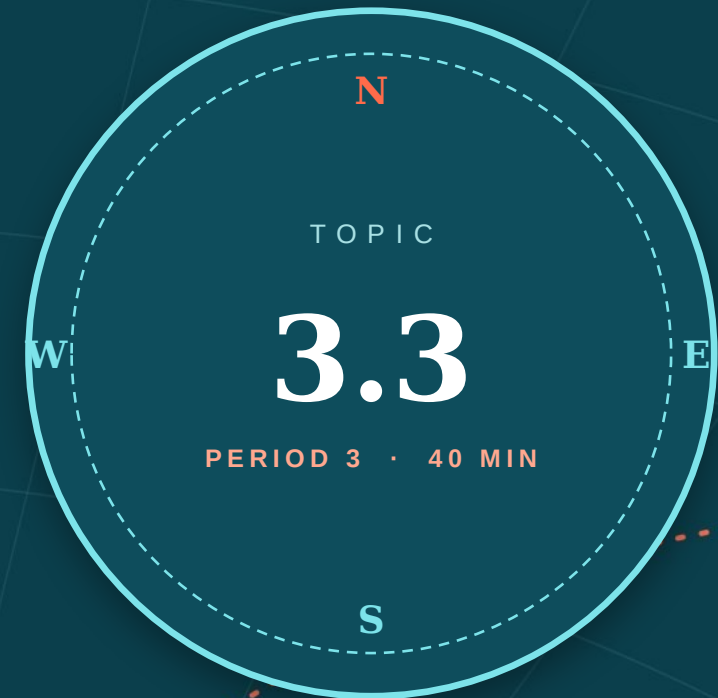


UNIT 3 · TOPIC 3.3

Add-ons and Surcharges

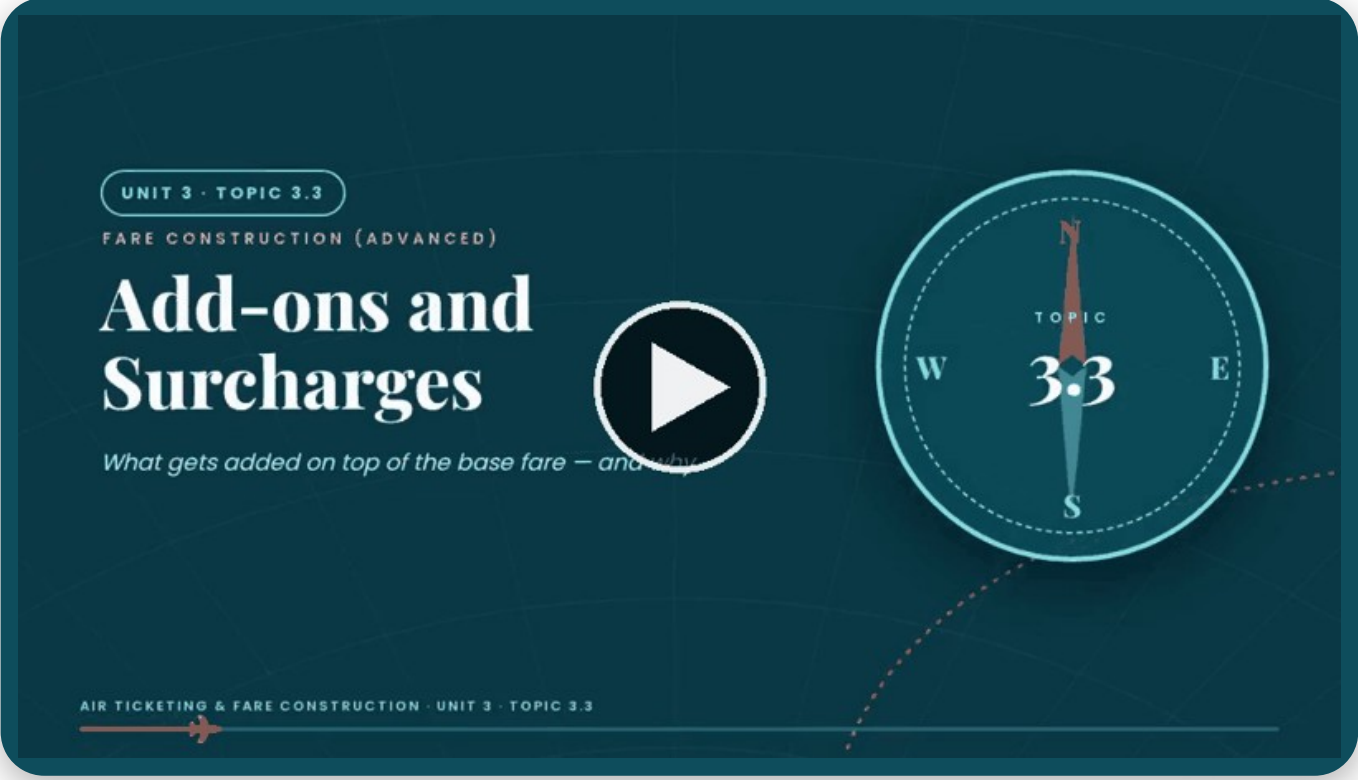
What gets added on top of the base fare — and why.

B.B.A. Aviation Management · Semester III · Unit 3: Fare Construction (Advanced)
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar



TOPIC 3.3

Expedition Preview: Topic Intro



The graphic is a dark teal rectangular box with rounded corners. At the top left, it says 'UNIT 3 · TOPIC 3.3' in a small white box, followed by 'FARE CONSTRUCTION (ADVANCED)' in a smaller font. The main title 'Add-ons and Surcharges' is in large, bold, white serif font. Below it, a subtitle reads 'What gets added on top of the base fare — and why.' in a smaller, italicized white font. To the right of the title is a large white play button icon. Further right is a circular compass rose with a red needle pointing North. The needle has the number '3.3' on it. The compass is labeled with 'N', 'S', 'E', and 'W'. The word 'TOPIC' is written above the '3.3'. At the bottom left of the box, there is a small white progress bar with a red arrow pointing right, and the text 'AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.3' in small white font.

UNIT 3 · TOPIC 3.3

FARE CONSTRUCTION (ADVANCED)

Add-ons and Surcharges

What gets added on top of the base fare — and why.

AIR TICKETING & FARE CONSTRUCTION · UNIT 3 · TOPIC 3.3

Air Ticketing & Fare Construction · Unit 3: Fare Construction (Advanced) · Topic 3.3

02

TOPIC 3.3

Navigator's Question



THINK ABOUT IT

Beyond the fare, where does the rest of your ticket money go?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2–3 answers with the class



TOPIC 3.3

Route Map for Today

1

3.3.1

Add-ons and surcharges: introduction

2

3.3.2

Definition: taxes, fees and additional charges added to the base fare

3

3.3.3

Types: fuel surcharges, security fees, passenger service charges, etc.

4

3.3.4

How surcharges are calculated and added



COURSE OBJECTIVES

- Define add-ons and surcharges
- Classify charges by who collects them
- Identify common Indian and global charges
- Calculate a total fare with surcharges

Pedagogy: Learning Through Problem-Solving

TOPIC 3.3.1

Two Meanings of “Add-on”

**Fare add-on (arbitrary)**

A published amount added to a gateway fare to build a through fare to a smaller city.

**Charges added to fare**

Surcharges, taxes and fees added to the base fare.

**Ancillary add-ons**

Optional extras: seats, bags, meals.

**EXAMPLE**

No published fare IXC–LON? Use DEL–LON fare + IXC–DEL add-on to construct a through fare. This is the classic IATA “add-on” (also called arbitrary).



TOPIC 3.3.2

Who Collects What?

**Governments**

Taxes: GST, departure tax, immigration fees.

**Airports**

User development fee, passenger service fees.

**Airlines**

Carrier surcharges YQ/YR (fuel, insurance).

**Agents / OTAs**

Service and convenience fees.



TOPIC 3.3.3

Common Charges (India & Global)

Charge	Collected by	Example
GST (K3)	Government of India	5% on economy base fare + YQ/YR
User Development Fee (IN)	Airport operator	Varies by airport
Aviation Security Fee	Government (security)	Fixed per departing passenger
Fuel / carrier surcharge (YQ/YR)	Airline	Varies by route and airline
Foreign taxes	Other governments	e.g., UK Air Passenger Duty

Note: Tax amounts change — use the GDS tax display for current values.

Air Ticketing & Fare Construction · Unit 3: Fare Construction (Advanced) · Topic 3.3

07

TOPIC 3.3.3

Fuel Surcharges Explained



Purpose

Recover fuel-price rises without refiling every fare.



By Route

Higher on long-haul routes; filed through ATPCO.



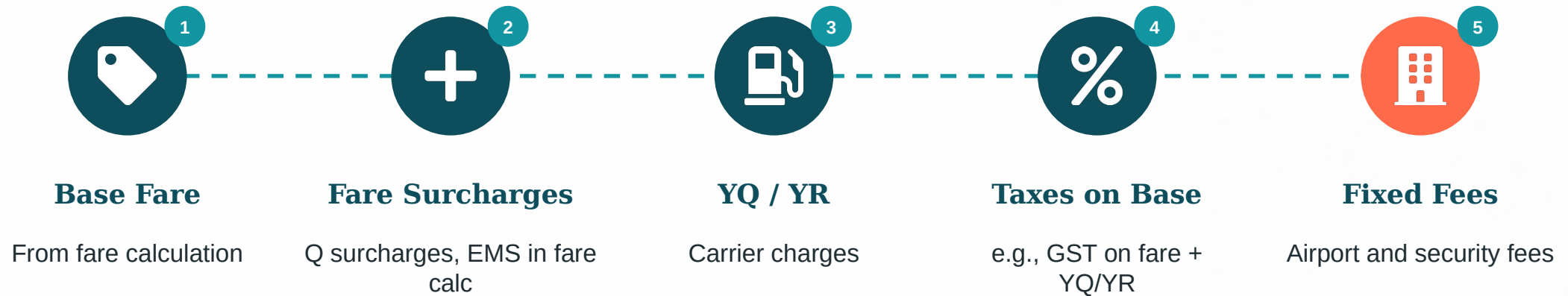
Refunds

Refundability depends on airline rules.



TOPIC 3.3.4

Adding Surcharges Correctly



TOPIC 3.3.4

Worked Example

Domestic India, economy (illustrative).

- Start with base fare.
- Add carrier surcharge (YR).
- GST 5% on base + YR.
- Add fixed airport and security fees.



TOTAL FARE BUILD (illustrative)

BASE FARE	INR 5,000
YR SURCHARGE	INR 300
SUBTOTAL	INR 5,300
GST 5% (K3)	INR 265
UDF (IN)	INR 500
SECURITY FEE	INR 236

TOTAL	INR 6,301

TOPIC 3.3.4

Problem Set

Base	YQ/YR	GST 5%	Fixed fees	Total
₹4,000	₹200	₹210	₹600	₹5,010
₹6,500	₹500	₹350	₹750	₹8,100
₹9,000	₹0	₹450	₹820	₹10,270

Note: Cover the last two columns and let students calculate.

Air Ticketing & Fare Construction · Unit 3: Fare Construction (Advanced) · Topic 3.3

TOPIC 3.3.4

Watch the Share

~20%

of a short-haul domestic ticket can be taxes & fees

~40%+

of some long-haul tickets can be taxes & surcharges



Illustrative ranges — ask students to calculate the share on a real ticket.

TOPIC 3.3

Navigation Exercise: Fee Hunter



PEDAGOGY

Learning Through Problem-Solving

TIME · 12 min

FORMAT · Pairs

1

Each pair gets three ticket price breakdowns.

2

Classify each charge: tax, airport fee, carrier surcharge or service fee.

3

Recalculate the total and % of base fare.

4

Spot one error deliberately planted in a breakdown.



TOPIC 3.3

[Click to reveal each answer](#)

Position Check Quiz

Q1

An amount added to a gateway fare to reach a smaller city is a...

- A) Fuel surcharge
- B) Fare add-on (arbitrary)
- C) Tax
- D) Penalty

ANSWER

B**Q2**

YQ/YR are collected by...

- A) Airports
- B) Airlines
- C) Governments
- D) Banks

ANSWER

B**Q3**

Base ₹4,000 + YR ₹200. GST 5% on both =

- A) ₹200
- B) ₹210
- C) ₹220
- D) ₹420

ANSWER

B**Q4**

UDF in India is collected for...

- A) Airport operators
- B) Airlines
- C) Travel agents
- D) Hotels

ANSWER

A

DESTINATION REACHED

Key Takeaways

- ✓ “Add-on” can mean fare arbitraries, surcharges or ancillaries
- ✓ Taxes → governments; fees → airports; YQ/YR → airlines
- ✓ GST applies on base fare plus carrier surcharges in India
- ✓ Build totals step by step and check the tax display

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT WAYPOINT

Topic 3.4 — Open-Jaw and Circle Trips

Thank you · Questions?